

Sino – European Relations in the Liberal International Order

It is nearing the end of 1945, World War II is over, the fascists have been defeated and a new balance of power has been established in the world. A new “liberal international order” has been born. Author G John Ikenberry uses this moment to define the “liberal international order” as “the set of rules, norms, and institutions that were established after World War II to promote peace, democracy, and prosperity through free trade, open borders, and multilateral cooperation.”¹

Over the 8 decades since, both, the essence of the phrase, and the relevance of actors that define it, have changed drastically. Within this context, there are two major players whose relationship has seen multiple fluctuations: Europe and China. As a proponent and semi-adversary of the liberal international order respectively, these actors have had multiple periods of collaboration and confrontation, all of which have come to define their relationship and its role within the world order today. To better understand potential trajectories in the future, it is important to analyse, **“How did and does the liberal international order define Sino-European relations?”**

The 1949 victory of Mao Zedong’s communist forces in the Chinese Civil war and the establishment of the People’s Republic of China set the initial tone for Sino – European relations. The Chinese state, being Communist, was seen as a threat to both democracy and free trade. At a time when Western policymakers were worried about the rise of Communism led by the Soviet Union, the victory of Chinese communism put Europe at unease. Simultaneously, Mao viewed Europe as part of the capitalist world that posed a threat to the socialist revolution. With almost no trade relations² between the actors, Europe responded to the Chinese “threat” by aligning with the USA’s containment policy aimed at reducing the spread of Communism.³ As Thomas J. Christensen says, Europe sought to “protect its regional interests and to maintain the integrity of the liberal international order” by implementing economic sanctions on China and refusing to recognise it diplomatically.⁴ Opposition was common and one of the first clashes between the two in this new world order was during the Korean War between 1950 and 1953, when the Chinese forces that supported North Korea clashed with the UN-led European troops fighting for South Korea. This hostility continued to characterise the practically non-existent Sino- European relationship over the next two decades.⁵

However, a drastic change was seen in the 1970s. The failure of the Cultural revolution (1966-76) saw domestic tensions due to a disruption of the economy, which prompted the

¹ Ikenberry, G. John. *Liberal Leviathan: The Origins, Crisis, and Transformation of the American World Order*. Princeton University Press, 2011.

² However, there were some exceptions, such as Albania. See Grimm, Sven. "China and Europe: A Mutual Learning Process." *Asia Europe Journal*, vol. 3, no. 2, 2005, pp. 183-195.

³ Lynch, Michael. *The People's Republic of China*. 3rd ed., Routledge, 2018.

⁴ Christensen, Thomas J. *The China Challenge: Shaping the Choices of a Rising Power*. W. W. Norton & Company, 2015.

⁵ Lynch, Michael. *The People's Republic of China*. 3rd ed., Routledge, 2018.

PRC to find solutions in international trade and investment. Simultaneously, as relations with the USSR began to decline for both China and Europe, it became increasingly beneficial for both actors to establish diplomatic relations to balance the growing power of the Soviet Union.⁶ Sino-European relations began to gradually improve and in 1975, the PRC and the EEC (European Economic Community, predecessor of the EU) formally established diplomatic relations, thus officially ending 30 years of hostility.⁷ After Mao's death in 1976, Deng Xiaoping came to power within the PRC and began to initiate a series of economic reforms aimed at opening up China and integrating into the global market. This was a new commitment by China to the rules of the liberal international order and was thus much welcomed by Europe. For example, in the 1980s, Deng introduced Special Economic Zones in China to attract foreign investors by offering preferential treatment. Such policies helped show China's newfound commitment into the liberal international order and thus improve Sino-European relations.⁸

By the 2010s, China's economic and political influence had grown incredibly. It's GDP growth in 2010 was 10.64%, making it the world's second largest economic power. It was also the world's largest car market and the world's leading exporter.⁹ The launch of the Belt and Road initiative in 2013 proved to be historic, boosting Chinese influence in Central Asia and Africa over the past decade.¹⁰ This rapid increase in Chinese power and influence gave it an important role in the world stage – it changed both, its role within the liberal international order, and its relationship with Europe. As Europe no longer considered China a developing country, expectations of Chinese conduct within the international framework began to increase. Now highly influential, China was expected to not only uphold, but reinforce the ideas of the liberal international order by Europe.¹¹

At this juncture, it is appropriate to cite author Anne-Marie Slaughter's definition of the liberal international order: "a system of rules and institutions that has been created and sustained by the leading liberal democratic states in order to promote their values and interests in the international arena."¹² Recently, as China has grown in power, it's interpretation of the liberal international order seems to align more with that of Slaughter: it has become more wary of and opposed to a Western backed liberal order and has begun to disappoint European expectations, steering further away from liberal, democratic ideals. Since terming China a "systemic rival", Europe has begun to realise that China's influence on

⁶ IBID.

⁷ Farnsworth, Clyde H. "China and Europe: A Growing Economic Relationship." The New York Times, 19 Oct. 1986, <https://www.nytimes.com/1986/10/19/business/china-and-europe-a-growing-economic-relationship.html>.

⁸ Lynch, Michael. The People's Republic of China. 3rd ed., Routledge, 2018.

⁹ Citeco. "China Becomes the World's Second-Largest Economic Power by GDP in Current Dollar Terms." Citeco.fr, 2011, <https://www.citeco.fr/10000-years-history-economics/contemporary-world/china-becomes-the-world-s-second-largest-economic-power-by-gdp-in-current-dollar-terms>.

¹⁰ McBride, James. "China's Massive Belt and Road Initiative." Council on Foreign Relations, Council on Foreign Relations, 19 Nov. 2020, <https://www.cfr.org/backgrounder/chinas-massive-belt-and-road-initiative>.

¹¹ European Commission. EU-China – A Strategic Outlook. 12 Mar. 2019, https://commission.europa.eu/documents_en?f%5B0%5D=document_title%3Astrategic%20outlook.

¹² Slaughter, Anne-Marie. A New World Order. Princeton University Press, 2004.

a global scale may not necessarily mean the reinforcement of the world order, but the ability to challenge what currently exists.¹³

In the past 5 years, Sino- European relations have deteriorated further than ever in recent history. Several issues, including human rights concerns regarding the treatment of Uighur Muslims in the Xinjiang region, the lack of action taken by the Chinese government against international cyber-attacks originating within its territory and China's contentious claims in the South China Sea have all played a role. Overall, Europe is concerned by the lack of transparency in Chinese action and diplomacy, which furthers economic issues such as the Chinese Communist Party's state-market structure and resulting favouritism towards domestic companies that create market penetration issues for European companies and put businesses from the two regions on an uneven playing field.¹⁴ Notably, EU sanctions on Chinese individuals and entities in response to human rights issues were met with counter-sanctions by the PRC and a halt on the Sino – European Comprehensive Agreement on Investment, which had promised to take the relationship to new heights economically.¹⁵ It is clear that this decline in Sino – European relations stems from different perspectives on the current liberal international order. As Chinese firms continue to aid Russia in the ongoing war with Ukraine, Sino – European relations seem to be moving further away from potential revival.¹⁶

In light of this history and the current tension that persists between China and Europe within the liberal international order, this paper will seek to conclude with 3 policy recommendations to the EU:

1. Begin restoration of relationship through cooperation on small scale issues:

The re-establishment of strong relations between China and Europe will require concentrated action in multiple small steps. Given the current context in which the two parties have come to a standoff on multiple issues (human rights, maritime claims in South China Sea, economic cooperation), it is advisable to try to cooperate in areas that are less contentious. The aim of both sides should be to re-establish goodwill and trust that can be carried forth when discussing larger issues in the future. Possible areas of cooperation would thus be:

- Sustainable Development: Extend cooperation beyond the framework of the EU's Horizon Europe programmes to establish more exclusively bi-lateral projects. Co-funded research into sustainable development carried

¹³European Commission. EU-China – A Strategic Outlook. 12 Mar. 2019, https://commission.europa.eu/documents_en?f%5B0%5D=document_title%3Astrategic%20outlook.

¹⁴ IBID.

¹⁵ Janka Oertel, "The Rise and Demise of the EU-China Investment Agreement: Takeaways for the Future German Debate on China," CSIS - Center for Strategic and International Studies, March 2021, <https://www.csis.org/analysis/rise-and-demise-eu-china-investment-agreement-takeaways-future-german-debate-china>.

¹⁶ Reuters Staff. "Brussels Plans to Slap Sanctions on Chinese Companies Aiding Russia's War Machine - FT." Reuters, Thomson Reuters, 7 May 2023, www.reuters.com/world/brussels-plans-slap-sanctions-chinese-companies-aiding-russias-war-machine-ft-2023-05-07/.

out by teams comprised of members from the EU and China and bilateral trade concessions for firms operating under exemplary climate change standards are two such options.

- Reform in the World Trade Organisation: Cooperate on creating and enforcing changes in labour policies that reflect common interests such as the digitisation of labour.
- Cyber Security: Although this might be more difficult, coming to an agreement on bilateral use of cyber platforms and the control of cyber attacks can be possible through the creation and enforcement of treaty law, especially in China and the consequent easing of the EU's cyber sanctions.

2. Establish a strong, unified EU presence in areas of Chinese diplomatic and economic domination:

Such a policy will help counteract increasing Chinese influence in regions that are important to European interests. This would mean strengthening EU presence in the diplomatic circles of Asia and the economic arenas of Africa. Possible points of entry are:

- Belt and Road Forum: The forum, held to promote the BRI, has been attended by EU member states individually. However, coming to a domestic consensus on policy towards the BRI and establishing official EU representation at the forum will allow for a unified and thus stronger presence at the forum to convey and promote European Interests. The EU must be careful to ensure that engagement in the forum, where diplomatic representation from the Russian Federation will also be present in 2024, does not contradict other aspects of its foreign policy.
- Joint Investments in African Development: Joint investments with China would benefit the EU by both allowing it to establish a presence in African nations where Chinese investments are predominant while also allowing for the development of increasingly transparent Sino – European financial relations. Access to areas of influence in Africa such as Djibouti, which do not share close ties with China can be used as leverage in negotiations.

3. Make efficient use of newfound leverage in diplomatic negotiations and forums:

- Part of Europe's disadvantage in its relations with China was the unequal footing on which Chinese and European firms operated, with the former getting both advantages within China and increased access to European markets. The EU's 2019 Regulation screening foreign involvement and investment in European economies has therefore done much to level this playing field. This must now be used as an effective diplomatic tool to leverage EU interests against that of China. An ideal arena to showcase the EU's newfound authority and control would be the G20 summit in September 2023. The Summit as a gathering of high-level representatives

of major countries would allow the EU to present yet preserve its interests at a prominent level. However, more importantly, the 2023 Summit is being held in India, China's long-time regional and increasingly global rival. At a conference where it is outside its sphere of dominance and is limited in its actions, China will be ideally placed to reciprocate cooperative attempts made by a recently empowered EU.

Overall, it is important for the EU to be wary of growing Chinese power and influence. The best way to counteract this would be through cautious cooperation beginning in low stakes areas, driven by the unified presence and increasing leverage of the EU. Given the history of Sino – European relations within the context of the liberal international order, it is important to realise the historical and contemporary significance of maintaining positive diplomatic relations and efforts must be made to re-establish trust and goodwill between the actors.

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